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Company: Zoetis, Inc.
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✓ **Company Participants**

Kristin C. Peck - Zoetis, Inc., Chief Executive Officer & Director
Wetteny Joseph - Zoetis, Inc., Executive Vice President & Chief Financial Officer

✓ **Other Participants**

Chris Schott - Analyst

MANAGEMENT DISCUSSION SECTION

Chris Schott

Good afternoon, everybody. I'm Chris Schott at JPMorgan, and it's my pleasure to be introducing Zoetis today. From the company, we have Kristin Peck, the CEO; as well as Wetteny Joseph who is going to join us for some of the Q&A after the presentation.

As a reminder, we've moved away from the formal breakout sessions at the conference this year. So, post the presentation, we're going to do some Q&A from the stage. And with that, I'm going to turn it over to Kristin. Happy New Year and thanks for joining us.

Kristin C. Peck

All right. Well, it is great to be back. Thank you very much, Chris, especially to be back in person and to see so many familiar faces. Before, we get into the real fun of the day, we got some legal housekeeping. So, why don't I kick into that for a second. As you can probably imagine, we're going to have some forward-looking statements today, as well as some financials that are non-GAAP, the reconciliations of which you can find in our presentation today as well as on our website under the SEC Filings section. So, with that, let's have some fun.

So, if there's anybody in the room who doesn't know Zoetis, I thought it might be a good place to start. And at Zoetis, we're incredibly purpose driven, and we see our purpose to nurture the world and humankind by advancing care for animals. We do this by providing a wide range of products from vaccines and medicines to diagnostics and devices to customers that range from veterinarians, livestock producers, as well as pet owners around the world.

And as you look at this year, our guidance that we gave out in November is to generate revenue of \$8 billion to \$8.75 billion and operational growth of 7% to 8%. So as we think about today's presentation, there are five takeaways I want to leave you with. The first is that Animal Health the fundamental drivers of which remain incredibly strong. And as I'll talk about today, they've been strong over time, even in uncertain times.

The second is around Zoetis that our market leadership is built on a diverse, durable and innovation driven portfolio that has a very long life with some compelling franchises that I'll speak about. And this portfolio has given us financial strength to continue to invest in our business and to grow our business. And I'll outline some of those key areas there that will not just allow growth, but profitability over time, and that we're strategically positioned to expand in some of the largest and fastest growing markets across Animal Health. And what is this done for you? Our shareholders, our proven track record of performance has allowed us to deliver significant total shareholder returns since we IPOed and I'll talk about a little bit this later, about 10 years ago.

All right. So let's jump into the industry. So Zoetis operates in the Animal Health industry, which is around \$45 billion. It's in all the sections I spoke about before. Medicines. Vaccines. Diagnostics. BioDevices, Genetics, et

cetera. And as you look at this graph over time, over the last 10 years, you can see that the growth in the industry overall is averaging about 5.8%. Those are through different economic times, through different disease outbreaks, different challenges with weather in our industry.

And if you look in the bottom, even as you look at the last recession, the industry still grew at 2.6%. So we're an industry that's incredibly resilient. We're not like, impervious to economic challenges, but we weather them much better given the fundamental drivers of our business.

So let's start on the first driver, which has to do with the fact that Animal Health is quite different than Human Health. So as you look here, the first thing you'll notice about the Animal Health business is that we have direct access to the decision-makers. We sell to the livestock producer or the veterinarian, and they actually purchase our product and we have a much more consultative approach. Many times in Human Health, you can measure your visit and maybe one hand three to five minutes. We spend extended periods of time and we're truly a trusted partner to our customers.

The second major difference is that it's a self-pay model. We don't really sell through governments. There's no third-party providers. So when we sell our products, we sell them based on outcomes and value through a much better sense of what our market is going to be for our product based on the outcomes we can deliver for either the pet or the animal when it comes to livestock. The next thing that's different is we have incredibly cost-effective R&D. And the reason for that starts with the fact that we begin research in the species that we're going to create the product for. So it's faster on average, two to three years faster than you'll see in Human Health. It's also much more cost effective. That's a real compelling difference between Animal Health and Human Health.

And the last thing that's really different in Animal Health than Human Health is the diversity of the business. There's certainly the diversity of species. Zoetis, for example, operates across eight different species. It's also the diversity of the markets. So even when one market is up or down or there's a weather event in one market or another, it has allowed the industry and Zoetis through different challenges to weather them much more effectively than many other industries.

So as you look at that, we can start on the Animal Health side in livestock. So what is the primary driver for livestock? It's protein consumption. So today, across the globe, there's about 8 billion people on this planet. It's expected to grow to about 10 billion by 2050. So what does that mean? That means the world is going to have to produce protein that should increase between 50% and 70% to meet that need.

It also means in an environment where we need to be producing more, we need to do it in more sustainable ways. We need to find ways to keep animals healthier and more productive. And that really comes into the unique position we have at Zoetis to create those solutions, whether that be in poultry or aquaculture. The need for sustainable agriculture production of protein is one that's going to continue to grow.

We often get questions around, well, can't you get that with alternative proteins? They're growing, but they remain incredibly small, and many people try them. It's still the significant primary protein source for people around the world today, and I believe in 2050 will be animal-based proteins. That may shift, and we often see this across the livestock industry. So in difficult economic times, people may trade proteins. They may trade between beef to pork, or pork to chicken, or chicken to eggs, or dairy. But they're still consuming protein. And that is a sustainable macro driver that will continue to drive Animal Health.

Next, let's focus on the petcare side. And I'm sure anyone who's in this room has seen the big petcare boom over the last few years. But there's a number of trends I want to talk about that have been driving the industry not just since COVID but long before it. The first is that pet owners are prioritizing the health of their animals even more. And some of this is driven by who is generating that demand, and that 50% of pet owners today are millennials and Gen Z. And the fact is they see their pets differently. They're much more important parts of their family. They do lots more research. They're much more willing to spend on their pets. We're also seeing a lot of the pets that are being adopted by high income families that often have more than one pet.

And the big question we're getting in the one-on-ones this morning and that we've been getting over the last few months is, well, what happens if there is an economic recession? Are people going to stop spending on their pets? So we did a study at Zoetis, and the reality was, in a hypothetical situation, where a family was facing a 20% reduction in their annual income, they wouldn't change the investment in their animal health's – in their animal's healthcare costs at all.

And part of the reason why is that animal healthcare costs are only 0.87% of a household spend, so it's very small. So even if it went up a little bit, it doesn't have a significant impact. But the loss of that pet on the family dynamics has immeasurable. And this has been supported by other organizations such as the Human Animal Bond Research Institute as you see on the left-hand side of this slide, where 86% of pet owners said they would spend whatever it takes to take care of their pet.

So the other dynamic we get a lot of questions on from investors is around vet clinic dynamics. So what's happening there? We've seen a lot of different trends between 2020, 2021, and 2022. So what I wanted to share today is some longer-term trends. So you can put some of this into context. So if you look at vet clinics, there's three things we really take a look at: overall revenue, spend per visits, and overall visits. And as you can see here beginning in 2018 quarter-by-quarter through today, all three lines have an upward trajectory.

There are anything that happens in any given quarter that makes one significantly more than another. And there's no question in 2021 that you saw significant increases given a lot more pets were adopted, a lot of those pets were puppies, there was lot more visits, etcetera. But what we're seeing, even if you look at the 3Q data, is revenue per visit is still up 9%. Overall revenue is up 5%. What we've seen is some slight declines overall in vet clinic visits. And there's a few causes of this.

The first and foremost is some of those puppies are now dogs. They need to go less frequently. But if you do have a dog that's no longer a puppy and you try to get an appointment with your vet, I guarantee you'll find out that it's going to take you a few weeks or a month to get that visit. And that's become there's been some challenges in the capacity of vet clinics.

Some of this is they got burnt out honestly, doing what they did in 2021, they just didn't want to do it anymore. And some of it is a great turnover in their practices. We've seen this – I mean, overall in many sectors of the economy, what has everybody said, I want to make more money. I don't want to have to go to a physical presence required job. And they lost a lot of techs and they lost a lot of their front office staff. And we couldn't just produce more vets overnight to meet this need that we saw. But I think the really important thing for you to focus on is the pet owner demand is there.

The decline in vet visits isn't that the pet owners don't want to see a vet, they absolutely want to see a vet. It is a limited capacity and what we're starting to see and I was out with vet clinics in the last few months in the US and in Brazil and in Chile, and this is a global trend, by the way, is that vet clinics are starting to figure out how to address it. Part of this is have a more leveraged model, right? Maybe instead of one vet and one vet tech, maybe it's one vet and three vet techs, and I can make use of my time much more efficiently. And, I think, this is what you're going to continue to see.

The really important thing is, as you look at the revenue overall and spend per visit, it's up 25% since 2018. So, the industry remains strong, pet owner demand remains incredibly strong. So, let's talk about what this means overall for Zoetis. The first is that we have a diverse, durable and innovation-driven portfolio, and we've had this over many, many years. It allows us to have steady performance across a myriad of different economic and macro environments.

We do this across seven therapeutic areas, as I said before, eight species. We have 15 blockbuster products which, in animal health, are defined as products over \$100 million. The average market life of our product is 30 years. We have 300 product lines. And really, this is driven by an R&D engine that is incredibly productive. We invested in 2021 around \$500 million; in 2022, our guidance is around \$530 million to \$540 million for our R&D spend; and we've been one of the most productive R&D engines in the industry, bringing disruptive innovations such as the first, the second, and the third monoclonal antibody in the industry, from Cytoint for atopic dermatitis, to Librela for osteoarthritis pain in dogs, to Solensia in cats, we are the world leader.

If you look at Simparica Trio, the first company in the US to bring a triple combination product, but we also do this with life cycle enhancements, whether that's in companion animal or livestock. Apoquel chewable, for example, a formulation that we've launched in Europe, or Draxxin KP, or in singles, which are, you know, additions to vaccines in livestock with our Procerta family of vector vaccines or new products for cattle.

The R&D engine of Zoetis is incredibly strong, and this innovation that we've led helps us drive growth above and

beyond the market. And the clearest way to see this is in the world leading franchises that we have built in some of the biggest sectors in animal health. So, as you start on the left-hand side of this page, for those of you who have been with us for a while, we created the dermatology space in animal health.

Back in 2012, the animal health dermatology market was around \$70 million. Today, it's \$1.25 billion, of which we're \$1.2 billion of it, so that was even in 2021. We did this by creating a market, by better understanding what the customer needed, and then helping build that market through vets, as well as in direct-to-consumer advertising. And we believe we can continue to grow the dermatology market. We can grow it by expanding geographies outside of the United States, where the usage is still significantly less than it is in the US. But even in the US there's still 6 million untreated dogs. So, we believe we can continue to expand that market. We invest in this heavily through direct-to-consumer advertising.

The second is the biggest market in animal health is our franchise across parasiticides. Paras in the world is around a \$6 billion market and over the last three years, it's growing around 13%. But if you look at what Zoetis has done with Simparica, Simparica Trio, ProHeart, Revolution, Rev Plus, no matter where you are in the world, no matter how you practice as a vet, we have the product that your customer needs, it's a franchise. We look at it holistically. As you see here, we have a \$1.3 billion business, growing at 45%. It's an incredibly exciting space and we're very excited about the potential growth of parasiticides.

And last is sort of the place we're disrupting most right at the moment, which is the pain category. Historically, the pain category in dogs and cats combined has been somewhere around a \$500 million market. We believe with the addition of Librela for dogs and Solensia for cats, we can grow that market to over \$1 billion with our innovation. It's really historically been NSAIDs, we were the leader in that with our product RIMADYL, which is part of our franchise. But we really think this is disruptive innovation that we're going to bring to pretty much double our market and this is what Zoetis has continued to do over time.

We are the world leader, not just as you see by species, where across our largest four species, that was a 90% of our revenue, we are number one. We're number one in the dermatology space with our franchise there, number one in pet pain, and number two in parasiticides. Our leadership is across geographies, it's across species, and it's across product categories.

And what this has helped us to do is to invest in the growth for our future. Obviously, our primary investment is always inside of our company, it's going to be in R&D. I've spoken about our significant investment in 2021 and 2022. And what should you expect for 2023? Even faster growth in our R&D spend, given the strength of our pipeline.

But we're also investing internally in other spaces, in direct-to-consumer advertising, supporting some of our biggest franchises, whether that be in dermatology with Apoquel and Cytoint, certainly, our paras across our whole broad franchise, but we're also looking at that now with pain, with Librela and Solensia outside of the US and on branded. And as we grow in the US, we'll be building direct-to-consumer campaigns there as well. So, the pet owners are aware of our products and they go to their veterinarians asking for it.

We're also investing in supply. Given the strong growth that Zoetis had over time, we need to continue to expand our capabilities there as well as in really important spaces such as monoclonal antibodies. Whereas, again, we've had the first, second and third there and we have a strong pipeline of monoclonal antibodies behind that. And we are the world's leader not just in research and development, but the ability to scale monoclonal antibodies for a market that self-pay to be able to reliably do that. We're investing heavily there as well as in many other important platforms for our parasiticides, for derm, you name it. We've got expansion of facilities in the US, in Ireland. We've expanded with new acquisitions in Australia as well as expansions in China.

We're also investing in sustainability, which we think is critical to our success as a company in the future. We've made commitments to be carbon neutral by 2030 as well as 100% renewable energy. We have very specific plans in place to meet these targets, and importantly, to support our customers for which sustainability remains a really critical imperative. But given our financial strength, we still have the ability to continue to invest in business development, whether that's external alliances, partnerships, or acquisitions.

We were excited last year to close two. The first one was Basepaws in the petcare genetics space. So if you've got a cat, hopefully you're a customer of Basepaws, we'll be expanding into dog there as well, as well as the acquisition of Jurox, an animal health company based out of Australia, but that sells around the world that's both in livestock

and companion animal. And we've done all this while still returning our excess capital to our shareholders. We've done this in the first three quarters of 2022 with \$1.2 billion in share buybacks and have committed quarterly in 2023 to increase our dividend about 15%.

And as we look into 2023 and really the foreseeable future, we see five major growth drivers that will help us continue to drive above-market growth. We've talked about companion animal parasiticides. As we're back and in full supply in this quarter, we expect to continue to grow that market significantly; and our key dermatology portfolio, which remains a significant franchise for us, that we're going to continue to grow.

In osteoarthritis pain, we are basically establishing the new standard of care, and global diagnostics which is a fast-growing space that we're in, it grows at double digits. It's a \$4 billion market. As we complete and lap our go-to-market new model in the US, we're really excited to see the growth there, but importantly outside of the US, which is growing even faster.

And lastly is emerging markets. And if you go back to those trends I talked about in the beginning, whether that was livestock or companion animal, both are critical in emerging markets. That's where that new population growth of 2 billion is going to primarily be coming from, so protein in livestock. But pets are becoming much more important. A great demonstration of that is China, which our business today is 50% livestock, 50% companion animal. So both of those pet and livestock trends are critical to growing in emerging markets.

So as I reflect in three weeks, Zoetis is going to celebrate our 10-year anniversary as a public company. I know some of you in the room I can see were with us way back when – in 10 years ago when we IPO-ed. We were really the first large animal health company, kind of nobody knew. I remember talking back then, nobody really know this animal health space. We were about \$16 billion on our market cap when we IPO-ed. Today, we're somewhere around \$70 billion. We had \$4.6 billion in revenue, we're now over \$8 billion.

Importantly, as you think about where we are today and where we're going is when we IPO-ed, companion animal was only about 36% of our business. Last year in 2021, or a little over a year ago, it was over 60% and growing quickly. These are fundamentally important as we think about our growth going forward, because companion animal tends to be more resilient in challenging times than livestock is. We've improved our operating margins from 24% to 38% our revenue per colleague.

And I want to pause there on the revenue per colleague number, because so much of our success has been because of our colleagues, because of the culture. All of our colleagues who work at Zoetis are incredibly purpose-driven. They love what they do. They believe what they do really matters. We invest aggressively in our culture. It has led to not just much better retention than almost any other company, but our engagement globally is 88% with our colleagues. That was last year in one of the most challenging years, and we think this is absolutely critical to our success.

And what does that mean to you as shareholders? I think over 500% total shareholder return since we IPO-ed is not a bad place to be if you're one of our shareholders. And we've done this by growing our revenue faster than the market every year. As you look at this thing, it can maybe – anywhere from 2% or more in any given year. And that is even more impressive given we are the market leader in the space, we've continued to do that. We've done that again by growing adjusted net income and our margin, over time continued to do that to deliver profitable growth for our investors.

And as you take this and you say, what is our long-term value proposition? It's exactly what we've always committed. We're going to grow our revenue faster than the market. We're going to grow our bottom line faster than our top line. We're going to drive growth through investments first and foremost internally. Then we're going to leverage BD, but we will always commit to returning excess capital to our shareholders.

So, I hope I leave you with the five takeaways I promised at the beginning of this, that the fundamentals of animal health remain incredibly strong, and they're not just over the next few years. These are enduring market trends; that Zoetis has a solid, diverse, durable, innovation-driven portfolio that will drive great growth across dermas, pain, multiple, multiple categories and multiple geographies. That therefore, it gives us the financial strength to continue to invest in the future and deliver those returns.

And that we're strategically positioned in the most important and fastest growing areas in animal health. And then,

all this will provide you, our shareholders, with a proven track record to deliver shareholder returns that will be valued for many, many years to come.

So, thank you very much for listening. And now I think Chris and Wetteny hopefully join me on the stage. We'll I go to the really fun part, where we get to take your questions.

QUESTION AND ANSWER SECTION

Analyst:Chris Schott

Question – Chris Schott: Great. Thank you for that. Great. So, maybe just to kick off the Q&A, I think you touched on this in the presentation. It seems like one of the key debates around the space has been just the health of this companion market. So, can you elaborate a little bit more on what gives you such confidence that the pet owner is going to kind of hold up here and be willing to keep spending through, maybe more challenging economic environment going forward?

Answer – Kristin C. Peck: Sure. I'll let Wetteny take this, because he just finished a big market study to actually answer those questions. So...

Answer – Wetteny Joseph: Yeah. So, look, certainly we've seen the resiliency in the market. And as Kristin shared in the prepared commentary here, we've seen a real increase in the proportion of our revenues that are coming from companion animal, which has proven to be even more resilient. And so, we commissioned a study recently that just completed in December across our key markets, certainly the US and our top 10 markets overall. And what we've seen in other studies previously is more than underscored, which is pet owners are facing a 20% decrease in their overall budget, would not change the amount they spend on their pets. And so, that was, of course, that.

But as we exit 2022, we're operating across the world, we continue to see strength across our business, whether you look at Europe as we exit 2022 and enter into 2023. Whether you look at the US where we continue to see strong demand, though, some of the pet – sort of the clinic dynamics around labor constraints is something we're continuing to monitor, et cetera, but we continue to see that strength across the markets and where we operate, which is underscoring that the resiliency that we've seen over decades, if you look at the animal health market overall, but also our innovation driving through whatever the market is.

Question – Chris Schott: On that topic of clinic kind of visit growth, how sensitive is Zoetis' business? I know different players in the space have different sensitivity. So, I guess as you think about an environment where maybe we do have capacity constraints, can you manage through that, given that I know some of your products are more recurring in nature and maybe don't require (00:26:53)?

Answer – Kristin C. Peck: Yeah. I mean, I'd say, well, the proof is that we have been more if you look at our guidance for last year at 7% to 8%, on average, we represent I mean, we have been more resilient. And part of that is, we have a lot of chronic products. We have a lot of preventative products that don't require a vet visit to go on. So, I think once you're on our product, you tend to be on it for a longer period of time. So, I think we are more resilient.

I think the other thing to focus on is the fact that a lot of our products are moving to the e-commerce and auto ship. So, once you get a prescription, you're just going to continue to get that. And even if you didn't, remember to bring your pet in or you were delayed because your vet practice didn't have an appointment, Chewy is more than happy to call your vet and just make sure that we should continue that (00:27:32) prescription and they do.

So, I would say the other thing we're more resilient on is, we have really strong relationships with corporates that let us make sure that we are the primary product that were being given throughout these times. So, I do think we are not – we have lots of products that don't require a veterinary visit and can be given through other channels as well.

Question – Chris Schott: Okay. And on those efficiency metrics of the clinics kind of changing their way of doing business, do you think we'll see that in 2023, that we'll start to see a pivot that you can still get back to at least like flat visit growth? Or is this going to be a multiyear process to address this?

Answer – Kristin C. Peck: Yeah. If you look at vet clinic, I mean, historically, as you looked at those trends and even more, we looked at the chart I showed, if you want to download on the website, as 2018, it generally grows about 1%. I mean, that's generally the way the vet clinic visits and we absolutely think you'll get back to that in 2023. I think what you're really starting to see is vet clinics coming up with better models. You can train vet techs a lot faster than you can get new vets out there. So, what they're starting to see is, well, a better leverage model. And that's being led by corporates who clearly see the data, clearly see the benefits, and can quickly train people and bring them on board.

So, I do think you're going to start to see that. Maybe it'll be quarter-by-quarter constant improvement, but yeah, I think you're going to get back to at least as you look at we'll lap some of the bad comps by the second half of the year. I think you'll be back on that trend. I don't know, Wetteny, where you see it going?

Answer – Wetteny Joseph: Yeah. I think if you look at the numbers, right, the visit numbers are still above where they were before the pandemic, right. But what's driven 5% to 6% growth across a 20-year period across the market isn't just the visit numbers. It's actually what people are willing to spend. And that number has accelerated through the pandemic. It was already growing and supporting that 5% to 6%, because this person said, it's a 1% increase in visit numbers historically per year, but you're driving a 5% to 6% growth rate, which companion animal is a bigger growth rate versus livestock in that picture. So, it's really is the amount they're spending per visit in the overall revenue at the clinic. That's the key driver, although visits are important as well.

Question – Chris Schott: So, it sounds like your confidence in the health of the end markets has not changed from...?

Answer – Kristin C. Peck: There's no problem with pet owner demand and the vet clinics will figure the short-term challenges they have out, because it's in their best interest to do so. Everyone knows when there's a demand, someone will find a way to meet it.

Question – Chris Schott: Absolutely. On supply chain, it seems like there's an issue we're highlighting throughout the year and it feel like it kind of came to a head in 3Q. Can you just remind us where you are in terms of addressing some of the supply chain dynamics? And should we think about that being pretty much fully resolved heading into 2023 or are there some issues to work through still?

Answer – Wetteny Joseph: Yeah. When you look at the most important categories where we operate in, whether you look at parasiticides, you look at our monoclonal antibodies in our dermatology franchise, we feel very confident entering into 2023 versus where we were in 2022, where arguably that was the element that kept us from being able to deliver what we committed to from the beginning of the year.

Now, we started out the year talking about capacity constraints in 2022, for those who recall. As we got through to Q2 and Q3, the impact on parasiticides will be more pronounced and have an impact on us on the year. We're entering 2023 in much better shape where we, essentially parasiticides don't see unless there's some unforeseen event out there in the world. But we're entering the year with strength in terms of our ability to deliver on demand for parasiticides, certainly on monoclonal antibodies which are very important for us, whether you look at Librela, Solensia, Cytointercept on the dermatology side, where we are actually launching Librela in markets outside of Europe where we delayed those launches last year, we're doing that in 2023. So, we're very confident in terms of we're entering into 2023 like from a supply perspective.

Question – Chris Schott: Good to hear. On Trio, it's obviously been a phenomenal launch, but three years in now, just any kind of surprises in terms of either where you've taken share from or how I guess the market for triples has evolved?

Answer – Kristin C. Peck: Yeah. I'll start and let Wetteny build on this. We're really pleased – for those of you who were with us back in 2020, we launched into the pandemic, I think was April of 2020 was the launch date for this one. So, we've been learning a lot as we went, to be honest with you. I think the first thing is that the convenience and the efficacy of the product is incredible and it has great value. And so, I think a lot of what you've seen is a faster uptake to the product than I think most people would have expected. Customers want to pay for innovation. They want to pay for convenience instead of having to take two products every month, remembering one is much simpler. It's an oral.

What I think many people are surprised by is, how fast we've moved customers from topicals and collars into the oral category and how much customers want to pay for innovation. And we've just seen incredible strength in Trio. And I think the other thing is we were expecting competition. I mean, we talk about this every time we meet.

Question – Chris Schott: Yes.

Answer – Kristin C. Peck: I knew you'd – I'll answer before you ask. We were expecting competition a lot.

Question – Chris Schott: It isn't my question. Yeah.

Answer – Kristin C. Peck: Exactly. But we still don't have it. We are expecting competition in the first half. We had previously thought it would be very early in the year. Clearly, we haven't seen it yet. So for those in our industry, not by next week, which is VMX, which is really important for us. And we're going to make sure we seize the opportunity when that's the case. But any other insights you'd say to?

Answer – Wettény Joseph: So, look, if you look at small animal parasiticides, so that's companion animal excluding horses, right? So, that's a \$6 billion market that's growing mid- to high-single digits, and we have the broadest portfolio in that segment today. And if you look at this shift from topicals and collars into rolls (00:32:43), that's been going on for a while, and that's been expanding the market. Well, triple combination is still a relatively new standard of care, and that will continue for some time and provide some tailwind to the overall market. And we're the first mover there, which is significantly advantageous for us.

Question – Chris Schott: What should we expect when competition arrives? And it seems like you've had a pretty long runway here to really establish yourself, so how do you think about competitive dynamics whenever we finally see that competition comes into play?

Answer – Kristin C. Peck: Well, the first is based on who we believe our first competitor is, we don't think the competition will be on price.

Question – Chris Schott: Yeah.

Answer – Kristin C. Peck: And the reason is our competitor currently is one of the leaders in the single for both or the duo and the single product. And therefore, if they price underneath us, they would be undermining their own profitability and revenue. So, we don't see that as the primary. We don't know exactly what label, but we don't expect that the label will be significantly different. And we therefore think it's going to be the strength of our broad portfolio, the strength and the experience that vets have with our product, the strength of our business with our corporates in the US, where we have significant relationships, and we are the first line product for most of those.

So we – look, we think it'll be aggressive competition, but nothing we haven't really experienced, I would say. This is a DTC market, where DTC spend will remain really important staying front and center with the pet owners. So they go in asking for our product. But, I don't know if there's any other trends you'd say in the competitive space.

Answer – Wettény Joseph: Yeah. Look, I think this move towards the triple combination is going to continue to drive growth here. And as a first mover, with our penetration across large corporate accounts, etcetera, we believe we'll continue to grow even after competition. And we're going to continue to innovate in this space.

Question – Chris Schott: Yeah, great. Talk a little bit about the antibodies as we think about 2023. And you touched on this earlier, but capacity-wise, where are we this year in terms of your ability to kind of really roll out the products?

Answer – Wettény Joseph: Yeah. Look, we were on allocation with Librela for most of 2022, but we exited the year not in allocation across at all. And so we are launching across different markets and we feel very confident of our ability to continue to do that in 2023.

Answer – Kristin C. Peck: And the other thing I'll add there, as you look at – I know the US is the big question...

Question – Chris Schott: Yeah, yeah.

Answer – Kristin C. Peck: ...also on Librela or probably your next question. So as you look at Librela in the US, we continue to expect approval of Librela in the first half of this year with a full launch, an early experience followed by a full launch late in the year. So I think as you look at our mAbs portfolio, Solensia remains on track, both in and outside of the US, and we did go to full launch, as you know, in Q4 in the United States, which is our monoclonal antibody for osteoarthritis in cats. So, we remain very optimistic about both of them.

Question – Chris Schott: I know it's early, but if you compare, I guess, the initial uptake of Solensia in Europe versus US, has there been any notable differences or surprises with how the markets have been receiving them or too early to tell?

Answer – Kristin C. Peck: No, I mean, we're only a few months in, so I would say. So far, it's completely as we expected, consistent with – for those who don't know the space, cats are quite different than dogs with pain, because there really has been no product in the US for it, and cats are less medicalized. So, cats is a slower ramp to get to peak sales than it will be in dog. And it's tracking exactly as we expected.

The efficacy and the safety of the product is so exciting that we're getting those cats, but it's going to be slower. You got to get the vet comfortable with it, and then you got to convince the cat owner to bring – that there is a product and they should bring it in, and cats hide their pain. So, for all those reasons, it's going exactly as expected. No worse, no better.

Question – Chris Schott: Okay, great. Maybe shifting to other big category in derm, it seems like growth maybe slowed a bit last year. You've obviously done a tremendous job building that business out. How do we think about growth going forward? Like, how much more of a – is there of an opportunity is there to keep driving that category?

Answer – Kristin C. Peck: I think there's significant growth still left in it. I mean, look, we grew through the first three quarters about 18% last year. I mean, that's not too bad.

(00:36:22-00:36:26)

Question – Chris Schott: Yeah.

Answer – Kristin C. Peck: But it's slower, I mean, than previous years. I'll give that to you. But part of it was, as we said, we were supply constrained on Cytopoint. And more and more vets are choosing Cytopoint for its efficacy, for its compliance benefits, for the fact that it stays in the clinic and doesn't go into e-commerce. They get an injection.

As we look at derm, we have been expecting competition. The latest intelligence that we have is not – just not in the first half of the year, we don't think earliest would be end of the year if we got competition there. Again, choose whether you listen to me because we've been expecting it for a while at someone here (00:36:55). But we certainly don't expect in the first half of the year. And I think our latest intelligence would say maybe the end of the year. But we're going to continue to grow it. We still have 6 million untreated dogs in the US. The usage is still significantly less outside of the US. There's still markets where we're still launching a Cytopoint. So, we think there's still growth in this. Will it moderate versus what you've seen previous years? Yeah. But I still think there's significant growth in it.

Question – Chris Schott: Okay, great. Just one question on the farm animal side. Just talk a little bit about some of the moving pieces when you think about the – whether it's geographies or animals as we go through next years. I think it's a market you've said it may be more sensitive to the economic environment. So help us kind of think about the dynamics there?

Answer – Wetteny Joseph: Yeah. Look, I think about some of the big markets, you've cattle in the US, you've got herd size reductions, you've got input costs increases for producers that creates the dynamic where I think there'll be some headwinds coming into 2023 from a US cattle perspective. If you look at Brazil, same specie you probably

had some good strength, the export markets continue to stay strong for Brazil. China continues to import beef in addition to the swine from elsewhere, but beef into from Brazil, so that market looks to be strong.

If I look at swine overall where China goes so the swine in terms of the impact it has across the globe. So now is the biggest producer in the world, but also imports quite a bit, biggest importer as well. And so we'll continue to monitor what that looks like with the openings and so on and prices in China are remaining relatively high versus where they were most of last year. So that's a positive, we think for – certainly for producers and should bode well for the business as well. But we'll watch what the consumption numbers look like and what that means for not only for swine, but for other species in terms of import into China, et cetera.

So those are the big ones, I would say, in terms of that. As you know, we've had some generic competition impact us with Jurox and so on, but we're getting to a level now well into our second year about to approach the fold. At the end of Q1 would be the full anniversary of the second year for Jurox. And we'll get to a low enough level where while there might still be some headwind, it won't be as meaningful in terms of impact for us or the big sort of elements that I would look at.

Question – Chris Schott: Great. And maybe one last question as we're running out of time here. Just on operating costs and margins, can you just like directionally help us a bit? if I – should we still think about kind of leverage opportunity in the P&L, which I know you're making some big pushes on the R&D side and...

Answer – Wetteny Joseph: Yeah.

Question – Chris Schott: ...you're supporting these brands. How do we think about balance in that?

Answer – Wetteny Joseph: Look, when I look at entering into 2023, certainly we talk about the resiliency in the overall market. We're all looking at the macro to really make sure that we apply the right level, of what I'll say appropriate level of prudence in terms of what we think about for the year. But what we can count on is the mix will be favorable for us with companion animal continue to grow faster with our innovative products driving that. We can still see price as a lever that will move on in 2023, particularly in companion animal, but also across our in-line products and some of the products in livestock as well.

So price will be a positive going in to the year. We commit to growing the bottom line faster than top line. So even if the delta between those two isn't significant, we are committing to that. And if we don't do it every quarter, it will be for the year. That's our – that's sort of our value proposition that we continue to focus on.

Question – Chris Schott: Great.

Answer – Wetteny Joseph: And then, the last thing I would say is FX is going to have an impact as we enter into 2023. So, certainly, if you go with US dollar is versus where it was in the first start of last year, the dollar is still much higher than it was at the beginning of last year. So, I'm not – we don't forecast what it's going to be throughout the year.

But if we take a snapshot of where rates are today and we apply that to 2023 versus 2022, it would be about 2 points of headwind for the year and about 4 points of headwind for the first quarter. So that tends to have an impact not only top line but also all the way down to operating margins. But all of that, included will still commit to growing the bottom line faster than the top line, even as we make those investments in key areas like R&D and our supply chain.

Well, great. We think we're out of time here. I really appreciate the comments...

Absolutely, Chris...

...and thanks for joining us.

...and thanks.

